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D2 Entry: Every Question You Had, Answered

Setup & Trading Techniques



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A few weeks ago, we uploaded a video on a setup we really like, **entering on the second day of a strong momentum move**. The response was overwhelming, and so were the questions that followed.

We've compiled the most frequently asked ones and answered them here. If you haven't watched the original webinar yet, or want to revisit it before diving in, here's the link:

[Watch the Webinar](#)

Now, let's get into it.

1) What is the core idea behind the D2 Entry setup?

The key concept of D2 entry is simple: **when momentum is high, don't waste it waiting for a traditional setup to form. When traders wait for a "perfect" setup like a base, flag, or pullback, they let go of the strongest phase of momentum.**

Consider what happened during the Covid rally: by the time conventional setups like flags formed (which require at least 3 to 4 weeks of pole formation followed by another 3 to 4 weeks of consolidation), **the easiest and most explosive part of the move was already over**. D2 entry exists for exactly this reason: to **catch momentum at the moment it erupts, not after it has matured**.

2) How do I scan and select stocks for a D2 Entry?

The process is straightforward. **Go through the day's top gainers, sorted from highest to lowest percentage change**. The objective is to identify the best Day 1 moves across your universe. A few preferences worth noting: Moves of 10%+ are generally preferred. **Ideally, look for 20% circuit stocks emerging from consolidations or pullbacks**. A 4%-6% Day 1 move is usually weak. Momentum on Day 1 is the single most important criteria for a strong follow-up the next day. **Preference is always for the first day of expansion, not the second or third day of a move that is already underway**. While slightly later entries (even Day 3) are



possible, they are more situational and advanced, and not recommended for those just starting with this setup.

3) Does the stage of the stock's trend matter, early Stage 2 vs. late Stage 2?

The stage matters much less than the momentum itself. Stocks that are in a fresh Stage 2 breakout (recently emerged from a downtrend or neglect) do make for cleaner candidates, but a stock in the later stages of a Stage 2 advance can work just as well **if it is producing a climactic, high-momentum move. Climactic moves, in particular, can produce extraordinary returns. The core filter is always momentum, not stage, not fundamentals, not sector positioning alone.**

4) What are the key things to assess before taking a D2 Entry?

There are three layers to evaluating a D2 trade:**a) Prior Demand (Day 1 quality):** The first day should show strong price expansion. Preference is for this to be the very first day of the move, on high volume, with the stock closing near its highs.**b) Bias for Day 2:** Day 2 is actually **three setups within a setup, depending on how Day 1 closed and how Day 2 opens: Strong close near highs:** Probability of a gap-up open is high. Entry becomes slightly challenging but can be handled with **gap-up entry techniques. Weak close with a wick due to market pressure:** Look for a strong open with a slight gap-up on Day 2. This is the **Wick Play setup. Negative overnight news:** Focus on stocks that showed exceptional Day 1 strength (circuit stocks, 10%+ movers) and **look for a gap-down reversal setup on Day 2. c) Entry (intraday execution):** Entry is taken based on intraday structures. ORB (Opening Range Breakout), range breakouts, or day-high breakouts are all valid techniques depending on how the stock opens.

5) How do you manage the trade once you're in?

Start with an intraday mindset, **trailing the 21 or 50 DEMA on the 1-minute chart.** As the trade develops, shift to the 21 DEMA on the 5-minute chart, which works well for intraday management. If the trade is working well, there is no compulsion to exit intraday. **Most or all of the position can be carried forward for the next 2 to 5 days to capture the full burst.** Once the initial burst plays out, we shift our bias from intraday to swing and move the **trailing stop from the 21 DEMA on the 5-minute chart to a higher timeframe chart**, as momentum tends to lose steam intraday and would otherwise trigger the stop too early. This **matters most in late Stage 2 climactic moves**, as the stock can continue running for several days before the momentum exhausts.

6) In what market conditions does the D2 Entry work best?

The setup works best when the **broader market is in strong momentum**, as it was in April. When the market lacks that tailwind, the strength of the individual stock becomes extremely important. A few specific conditions worth highlighting: **Wick Play:** Works well when a strong stock is dragged down by market pressure on Day 1, closing with a wick. Pent-up demand causes it to recover sharply the next day even in a muted market. **Gap-Down Reversal:** Particularly high success rate when overnight news puts pressure on a stock that had exceptional Day 1 strength. The stock gaps down on Day 2, absorbs supply quickly, and reverses.

7) Does the stock need to be in a strong sector, or is individual momentum enough?



Sunrise sectors and strong industry themes help, but **the setup does not depend on them**. A strong initial burst of momentum is all we look for, not a well-established sectoral trend.

8) Can this be used as a primary setup?

Yes. D2 Entry, alongside momentum burst plays, **can form the core of an active trading approach**. That said, there will be frustrating phases when broader demand is ambiguous or the market is in a choppy, directionless state. That is the nature of all momentum setups, not a flaw specific to D2.

9) Does this work in US markets and commodities too?

Yes. The setup is rooted in human psychology, the behavior of demand, supply, and momentum, and not in any market-specific quirk. **It applies across all asset classes and geographies: Indian equities, US equities, commodities, and beyond.**

We hope this clears up the most common questions around the setup. As always, the best way to internalize it is through screen time. **Go through the top gainers daily, study how Day 1 moves behave, how Day 2 starts and unfolds, and what role market conditions play in it.** The patterns will start to stand out naturally.

If you have more questions around the D2 Entry setup, drop them in the comments below.

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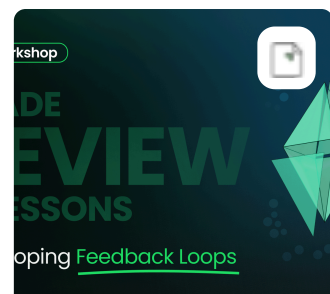
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